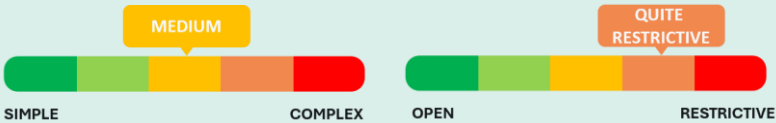


 Mauritius



Overview: In Mauritius, it is necessary to consider whether marketing/selling activities trigger licensing requirements at a *firm level* as well as public offering requirements at a *fund level*.

It may be possible to carry out certain general marketing activities in Mauritius and also to respond to a reverse enquiry without triggering these requirements.

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Funds: While “soliciting” Sophisticated Investors will not trigger the Investment Dealer/Adviser Licensing Requirement or the Advertising Restriction, related active marketing/selling activities may trigger these restrictions on the basis that the firm could be deemed to be “holding itself out” as an investment dealer/adviser. Unfortunately, there is no specific guidance on what activities would constitute “holding out” in this context. The safest course of action is therefore to use a locally licensed intermediary.

Separately when actively marketing/selling a fund, it is necessary to consider the public offering requirements, although there are some exemptions/exclusions, particularly for Sophisticated Investors.

Please note that it is also possible to apply to have a fund “recognised” in Mauritius. Where a fund has been “recognised” in Mauritius then the manager of such fund can conduct marketing/selling activities itself without using a locally licensed intermediary.

Investment Management & Advisory Services (IMAS): The analysis applicable to the active marketing/provision of IMAS (execution of orders on behalf of clients, arranging, investment advice and portfolio management) is the same as the firm level requirements set out above in respect of funds.

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The following activities are likely permitted without triggering restrictions:

- publishing articles/giving interviews e.g. thought leadership pieces or macroeconomic analysis;
- attending or speaking at a finance related event to discuss general trends/themes;
- distribution of business cards;
- socialising with prospective investors.



The following activities may be permitted in respect of Sophisticated Investors provided that the firm does not “hold itself out” as an investment dealer or an investment adviser:

- brand awareness;
- providing general information about the firm;
- product/service line awareness; and
- activities referring to an investment strategy/particular characteristics are likely to trigger restrictions.

Unfortunately, there is no specific guidance on what activities would constitute “holding out” in the context of the Investment Dealer/Adviser Licensing Requirement. Where this requirement is triggered, the firm will also need to comply with the Advertisement Restriction when publishing any Advertisement. See *Active Marketing/Selling of Funds* below for further details.

Passive Marketing/Selling (Reverse Enquiry)



Funds and IMAS: Permitted but care should be taken on how activity structured

There is no specific legal exemption for reverse enquiries. However, responding to a reverse enquiry from any investor should be permitted without triggering the restrictions provided the firm is acting in accordance with the below conditions:

Conditions for Permitted Reverse Enquiry:

- Generally the firm should restrict itself to responding to reverse enquiries on a cross-border basis only (i.e. fly-in meetings should be avoided). To the extent that any fly-in meetings will not constitute "carrying out" or "holding itself as carrying out" financial services in Mauritius, they are permitted. There is no additional guidance on what constitutes "holding out".
- The reverse enquiry should be as specific as possible.
- Each separate transaction should be preceded by a reverse enquiry.
- There is no maximum number of investors that a firm can market/sell to in response to an unsolicited approach.
- It is possible for a firm to receive a general confirmation from a Sophisticated Investor that it is happy to be contacted about future opportunities. This is not permitted in respect of other investors.
- There are no restrictions regarding future communications with investors known to the firm on the basis of a reverse enquiry provided that the communication falls within, and corresponds to, the initial enquiry by the investor.



-  There is no route available enabling a firm to avoid the restrictions applicable to active marketing/selling purely because activities amount to introductory pre-marketing. See *Active Marketing/Selling of Funds* below for more details of the restrictions.



-  Challenging without the use of a local intermediary

There are three main restrictions to consider.

1. Investment Dealer/Adviser Licensing Requirement

Where a firm “holds itself out” as an investment dealer or an investment adviser in Mauritius it will be required to obtain a licence as an investment dealer/investment adviser. This requires the firm to incorporate a local entity in Mauritius. There is no additional guidance on what constitutes “holding out” and the safest course of action is to use a locally licensed intermediary.

This requirement does not apply where a fund is a Recognised Foreign CIS or a Recognised Fully Regulated Scheme and the firm is authorised to act as the manager of such scheme in its home jurisdiction.

- **Recognised Foreign CIS:** a collective investment scheme established in a foreign country which has been recognised by the FSC. This involves an application to the FSC who will need to approve the prospectus. The FSC may also impose conditions as part of the recognition process. Please see sections 6.2(d)(i) and 7.1(a) of the Memorandum for further details, including in relation to applicable fees and timeframes for recognition and ongoing disclosure requirements.
- **Recognised Fully Regulated Scheme:** a collective investment scheme established in a foreign country which has been recognised by the FSC as a fully regulated scheme. Please see sections 6.2(d)(i) and 7.1(a) of the Memorandum for further details, including in relation to applicable fees and timeframes for recognition and ongoing disclosure requirements.

2. Advertisement Restriction

Where the Investment Dealer/Adviser Licensing Requirement is triggered, the firm will also be required to comply with the Advertising Restriction when publishing an Advertisement in connection with the cross-border marketing/sale of a fund by a firm to investors in Mauritius. This requirement will not apply where the fund is a Recognised Foreign CIS or Recognised Fully Regulated Scheme.

Advertisement is widely defined in Mauritius and will include all marketing material relating to Funds/IMAS.

Specific disclosures and disclaimers on the product and the persons promoting them are required where this restriction is triggered. Please see section 6.3(e) of the Memorandum for more information.

3. Public Offering of Securities Requirement

Funds publicly offering their interests in Mauritius must provide a compliant prospectus which is provisionally registered by the FSC. There are workable exemptions where the investor is a Sophisticated Investor. This

requirement does not apply to Recognised Foreign CIS, Recognised Fully Regulated Scheme or Permitted CIS Activities:

- **Sophisticated Investor Exemption:** applies where the offer of issue of securities is made to any number of Sophisticated Investors.
- **Permitted CIS Activities:** applies when marketing overseas funds to Sophisticated Investors where such marketing is undertaken by a CIS manager established in Mauritius; by a person carrying out the activities of an investment dealer outside Mauritius; or in accordance with such other provisions as the FSC may determine.

There are some additional exemptions, but these are less likely to be relevant - see section 7.1(a) of the Memorandum for further details.

Active Marketing/Provision of IMAS



Challenging without the use of a local intermediary

Marketing and provision of IMAS is subject to the Investment Dealer/Adviser Licensing Requirement and the Advertisement Restriction. See *Active Marketing/Selling of Funds* above for further details.

The analysis in this section is also applicable to the marketing/provision of IMAS in relation to a single investor vehicle, a segregated managed account or a family office undertaking. Where the marketing of such structure includes the marketing of securities, the Public Offering of Securities Requirement will need to be considered.

Additional Considerations



Intermediaries

In practice a firm will need to use a locally licensed intermediary to actively market/provide funds and/or IMAS.

Fly-in meetings

Fly-in meetings are only permitted in respect of general marketing or in accordance with the Conditions for Permitted Reverse Enquiry, provided that care should be taken to ensure that any fly-in meetings:

- do not involve the firm "carrying out" or "holding itself as carrying out" any financial services business;
- are conducted on a private basis,
- are limited in frequency and length; and
- do not involve the execution of binding contracts onshore.

Otherwise the restrictions set out under *Active Marketing/Selling of Funds/IMAS* apply.

Definitions of Investor Types



Sophisticated Investors: include the following types of investor:

- Government of Mauritius;

- statutory authorities or public agencies;
- companies owned by the Government of Mauritius or any of the statutory authorities or public agencies;
- banks;
- CIS managers,
- insurers;
- investment advisers,
- investment dealers;
- an investor that warrants at the time of entering into a securities transaction, that: (i) its ordinary business or professional activity includes the entering into of securities transactions, whether as principal or agent; (ii) in case s/he is a natural person, his/her individual net worth or joint net worth with his/her spouse exceeds one million USD, or its equivalent in another currency; or (iii) it is an institution with a minimum amount of assets under discretionary management of 5 million USD, or its equivalent in another currency; or
- a person declared by the FSC to be a Sophisticated Investor.